BUSINESS BASICS

Every business you can think of — no matter how different — comes down to one definition.

What you're getting for your 50 minutes

Red-outlined boxes are in-class activities — that's your cue to actually participate, not just read.

THE DEFINITION WE BUILD ON ALL CLASS

> A business offers **products** — goods, services, or both — to customers, with the goal of earning a **profit**.

Today we unpack exactly what sits inside that one sentence: what it takes to produce a product, what environment a business competes in, what kinds of businesses exist, and why you already understand more of this than you think.

FIRST IMPRESSIONS · QUESTIONS YOU WALK IN WITH

OBJECTIVE 1.1

Let’s define business

A business is an entity that offers **products** — goods, services, or both — to customers, with the goal of earning a **profit**. That definition breaks into three things worth pulling apart.

Products.
What a business actually offers — goods (physical) and services (intangible) — either one, or both.

Profit and its uses.
Revenue minus expenses. Profit is what lets a business reinvest, grow, pay owners, and survive.

What about nonprofits?
Not every organization is chasing profit. Nonprofits still operate like a business in many ways — but their goal is a mission, not a payout.

Revenue − Expenses = Profit

A NONPROFIT USES THE SAME STRUCTURE — POINTED AT A MISSION

IN-CLASS ACTIVITY

Pick any company of your choice. Look up the profit it has made — its most recent reported figure works fine.

NOTES · 1.1

OBJECTIVE 1.1

What it takes to make anything

Every good or service depends on these six inputs. Add your own example in the space on each card as we go.

01

Labor

The human work — physical or mental — that goes into producing something. Every employee, from line cook to CEO.

EX.

02

Natural resources

Raw materials businesses pull from the earth — water, timber, oil, farmland — before anything is made.

EX.

03

Capital

Real capital: equipment, buildings, tools. **Financial capital:** the money used to buy that real capital.

EX.

04

Entrepreneurial talent

The willingness to take a risk and organize the other three factors into an actual business.

EX.

05

Intellectual property

Ideas, formulas, designs, and brands a business owns — a recipe, a logo, a patented process.

EX.

06

Technology

The tools and systems that make production faster, cheaper, or possible at all.

EX.

Classical economics named the first three — land, labor, capital. Modern (neoclassical) economics added the fourth: entrepreneurship.

NOTES · FACTORS OF PRODUCTION

OBJECTIVE 1.2 · ENVIRONMENT 1 OF 4

Competition

Competition happens when two or more businesses vie for the same customers. Four strategies, each with an example:

Improve product offerings.
A coffee shop adds oat-milk and seasonal drinks because competitors started offering more variety.

Lower prices.
A gas station drops its price two cents below the station across the street.

Aggressively promote brands.
A sneaker brand signs an athlete influencer to stay visible against rivals.

Focus on customer satisfaction.
A local restaurant remembers regulars' orders and fixes mistakes without being asked.

OBJECTIVE 1.2 · ENVIRONMENT 2 OF 4

The social environment

Aging population.
As the population ages, demand shifts — reshaping what healthcare, housing, and services businesses need to offer.

Workforce diversity.
A more diverse workforce and customer base changes how businesses hire, market, and design products.

Green movement.
Consumer demand for sustainable products is pushing companies toward greener choices across the board.

IN-CLASS ACTIVITY

Name one company visibly responding to the green movement — and how.

NOTES · COMPETITION & THE SOCIAL ENVIRONMENT

OBJECTIVE 1.2 · ENVIRONMENT 3 OF 4

Going global

A **multinational corporation (MNC)** makes or sells products in several countries. **Offshoring** is moving production to another country — usually to cut costs.

Globalization opens up new markets and cheaper production, but it also means competing with businesses everywhere, not just down the street. Every move into a global market carries real risk:

- INCREASED COMPETITION
- EXCHANGE-RATE RISK
- POLITICAL RISK
- INTELLECTUAL-PROPERTY RISK

OBJECTIVE 1.2 · ENVIRONMENT 4 OF 4

Technology changes the game

E-commerce.
Online shopping lets a business reach customers anywhere — no storefront required.

Data privacy.
That same convenience means a business now holds real responsibility for keeping customer data secure.

NOTES · THE FOUR ENVIRONMENTS

OBJECTIVE 1.3

Four types of businesses

Local.
Serves one small, limited surrounding area.

Regional.
Serves a wider area — but still not a national or international market.

National.
Locations throughout the country, but not an international market.

Multinational.
Makes and/or sells products in several countries at once.

EVERY ONE OF THEM DEPENDS ON A SUPPLY CHAIN

SUPPLIER	→	MANUFACTURER	→	WHOLESALER	→	RETAILER	→	CONSUMER
Raw materials		Makes the product		Buys in bulk		Sells to you		You

IN-CLASS ACTIVITY

Name one real company for each of the four types.

Local

Reg.

Nat.

Multi.

NOTES · 1.3

OBJECTIVE 1.4

You already think like a business

You manage money, tech, security, and goals every day. Businesses do the exact same things — just at a bigger scale. As we work through the matching activity in class, write each pair here.

	THE SKILL YOU ALREADY HAVE	HOW A BUSINESS USES IT
1		
2		
3		
4		
5		
6		
7		
8		

NOTES · 1.4

Closing the ledger

Define each term in your own words. If you can do all eleven without looking, you're ready for the quiz.

Business

Profit

Nonprofit

Factors of production

Competition

Globalization

MNC

Offshoring

E-commerce

Supply chain

Local / Regional / National / Multinational

ACTIVITY MINUTE · BEFORE YOU LEAVE

Two biggest takeaways from today:

One business topic you're excited to learn more about:

TOTAL — 50 MIN · PAID IN FULL

Go back to that one-sentence definition from the start of class. You can now unpack every part of it — and you've seen it's really just the life skills you already use, running at business scale.